

23STCV09332 23STCV09332

County: los-angeles

Division: Civil Law and Motion

Department: 11

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Case Number: 23STCV09332 Hearing Date: July 28, 2026 Dept: 11

Ramirez-Ortiz (23STCV09332)

Tentative

Ruling Re: Motion to Approve Private Attorneys General Act ("PAGA") Settlement

Date: 7/28/26

Time: 11:00 am

Moving Party: Delia

Ramirez-Ortiz ("Plaintiff")

Opposing Party: None

Department: 11

Judge: Bruce Iwasaki

TENTATIVE RULING

Plaintiff's motion to approve PAGA settlement is granted as to the attorney fees, attorney costs, and administration costs.

The incentive award is reduced to \$5,000.00.

During oral arguments,
the Court will ask Plaintiff's counsel to discuss the gross settlement amount,
net settlement amount, and releases.

BACKGROUND

This is a wage-and-hour
representative action.

Here, Plaintiff requests approval of the
parties' PAGA-only settlement.

LAW

PAGA permits an "aggrieved employee"
to recover Labor Code civil penalties on the Labor and Workforce Development
Agency's ("LWDA") behalf, if the LWDA declines to collect the penalties
itself. (Cal. Lab. Code, § 2699, subd.
(a); see also *Mejia v. Merchants Building Maintenance, LLC* (2019) 38
Cal.App.5th 723, 732-733.) The
California Supreme Court has distinguished between Labor Code "civil penalties"
that are "intended to 'punish the employer' for wrongdoing, often 'without
reference to the actual damage sustained'" and "statutory damages" that
"primarily seek to compensate employees for actual losses incurred" – a PAGA
action can recover only the former. (Z.B.,
N.A. v. Superior Court (2019) 8 Cal.5th 175, 182, 198 [holding that Labor
Code section 558 "amount sufficient to recover unpaid wages" is not a "civil
penalty" recoverable via PAGA].) "A PAGA action is 'fundamentally a law
enforcement action designed to protect the public and not to benefit private
parties.'" (Mejia, supra, 38
Cal.App.5th at 732; see also *Iskanian v. CLS Transportation Los
Angeles, LLC* (2014) 59 Cal.4th 348, 381.)

PAGA requires a court to "review and
approve any settlement of any civil action filed" under PAGA, but it does not
provide review and approval standards or guidelines. (Cal. Lab. Code, § 2699,
subd. (l)(2).) The California
Supreme Court has interpreted PAGA as requiring courts to ensure that "any
negotiated [PAGA] resolution is fair to those affected." (*Williams v. Superior Court* (2017) 3
Cal.5th 531, 549, emphasis added.) The

parties affected by a PAGA settlement include: (1) the LWDA, who receives 65% of settlement funds and is “bound by the outcome of the proceeding to adjudicate the employee’s PAGA claim” (Mejia, supra, 38 Cal.App.5th at 732); (2) the aggrieved employees, party and non-party, who receive 35% percent of settlement funds and are, like the LWDA, bound by a PAGA action judgment; (3) plaintiffs’ counsel, who may be awarded reasonable attorney fees and costs; and (4) defendant, who pays the settlement.[1]

Moniz v. Adecco USA, Inc. (2021) 72 Cal.App.5th 56 provides greater detail about the standard courts should apply when evaluating PAGA settlements. The opinion adopts the “fair, reasonable, and adequate” standard used in class settlements.

DISCUSSION

Settlement Terms

Gross settlement amount = \$137,500.00

Attorney fees = \$45,833.33

Attorney costs = \$19,238.77

Administration costs = \$5,950.00

Incentive award = \$10,000.00

Net settlement amount = \$56,477.90

Analysis

Plaintiff’s counsel’s declaration establishes that, in preparation for mediation, the parties took part in informal discovery. Plaintiff’s counsel used the information to assess the value of the case and associated risks. Ultimately, Plaintiff’s counsel came up with maximum and discounted exposure estimates. Plaintiff’s counsel asserts that the gross settlement amount is within a reasonable range, especially considering the defenses Defendant raised, and that the settlement is fair, reasonable, and adequate. (See Fattahi Decl., ¶¶ 8-16.)

As PAGA necessitates, Plaintiff's counsel submitted a pre-suit notice letter and a copy of the settlement to the LWDA. (See id. at ¶¶ 7, 10, Exs. 1, 3.)

The Court finds as follows.

Gross Settlement Amount and Net Settlement Amount

Plaintiff's counsel calculated Defendant's maximum PAGA exposure to be \$1,079,800.00. (See id. at ¶ 14.) He calculated Defendant's discounted, reasonable PAGA exposure to be \$107,980.00, i.e., 10% of the maximum exposure, accounting for Defendant's defenses, evidence showing low violation rates, and other factors. (See id. at ¶¶ 12-15.) It also appears that he calculated the amounts without stacking. (See *ibid.*)

The Court agrees that stacking is unlikely. "Until the employer has been notified that it is violating a Labor Code provision (whether or not the [Labor] Commissioner or court chooses to impose penalties), the employer cannot be presumed to be aware that its continuing underpayment of employees is a 'violation' subject to penalties." (*Bernstein v. Virgin America, Inc.* (9th Cir. 2021) 3 F.4th 1127, 1144.) There does not seem to be a prior citation by the Labor Commissioner in this case.

Nevertheless, the Court needs more information. The calculation of the maximum exposure amount is based on a \$100.00 penalty per pay period (\$100.00 × 10,798 pay periods), yet Plaintiff alleges multiple violations (overtime violations, meal period violations, rest period violations, etc.). (See First Amended Class and Representative Action Complaint, ¶¶ 32-102.) Is the \$100.00 penalty meant to cover all alleged violations that each aggrieved employee allegedly experienced during each pay period? If yes, why does Plaintiff believe it is more reasonable to use a single penalty per pay period than to do a claim-by-claim assessment? Plaintiff's counsel should be prepared to answer these questions. If necessary, the Court will continue the

hearing to give Plaintiff's counsel an opportunity to submit a supplemental declaration regarding the purported reasonableness of the aggregate penalty.

Whether the net settlement amount (\$56,477.90) is fair, reasonable, and adequate depends on whether the gross settlement amount ends up being found fair, reasonable, and adequate.

Attorney Fees

The amount for attorney fees (\$45,833.33) is fair, reasonable, and adequate. This is a contingency case. (See, e.g., Fattahi Decl., ¶ 40.) In contingency cases in the complex courts, 33% to 35% of the gross recovery is standard.

Attorney Costs

The amount for attorney costs (\$19,238.77) is fair, reasonable, and adequate. It is under 14% of the gross settlement amount, and it is within the range that has been approved in other complex cases in Department 11.

The settlement agreement caps attorney costs at \$25,000.00. (See id. at Ex. 2, § 3.2.2.) If the costs fail to reach the cap, the Court will award the incurred amount to ensure that additional settlement money goes to the LWDA and aggrieved employees.

Administration Costs

In general, the amount for administration costs (\$5,950.00) is fair, reasonable, and adequate. Like the attorney costs, it is within the range that is typically approved in Department 11.

However, the Court favors reducing the amount. The administrator's

bid amount (\$5,950.00) is based on an estimate of 500 aggrieved employees (see id. at Ex. 9, p. 1) whereas the settlement covers 457 aggrieved employees. (See id. at ¶ 10.) Can the parties agree to a proportional reduction to reserve more money for the LWDA and aggrieved employees?

Incentive Award

The amount for the incentive award (\$10,000.00) is excessive. The standard amount in Department 11 is \$5,000.00. The Court finds that the record does not support an increase, so the Court will award the standard amount.

Releases^[2]

The Court is concerned about overbreadth. First, do Plaintiff and the aggrieved employees have standing to release claims on behalf of former and present spouses, representatives, agents, attorneys, heirs, administrators, successors, and assigns? Second, is the definition of “Released Parties” overinclusive?^[3] At the hearing, counsel needs to address the scope of the releases.

[1] Recently, the Legislature amended PAGA, changing the LWDA's recovery from 75% to 65% and the aggrieved employees' recovery from 25% to 35%. (See Chin, et al., Cal. Practice Guide: Employment Litigation (The Rutter Group 2025) ¶ 17:830.) The Court orders the parties to adjust the settlement to comply with these percentages.

[2] The releases appear in sections 5 through 5.3 of the settlement agreement.

[3]

“Released Parties” means Defendant and “its parents, subsidiaries, directors, owners, shareholders, officers, agents, attorneys, insurers (including, but not limited to, insurers and reinsurers), servants, joint employers, and employees, past and present, and each of them and anyone acting in concert with the foregoing[.]” (Id. at Ex. 2, §

1.26.)